

Saurabh Agarwal v. State of U.P. And 3 Others

High Court of Judicature at Allahabad · Division Bench · 24 April 2025 · 2025:AHC:62527-DB · Writ - C No. 10132 of 2025 · **Writ disposed of; 25% deposit and fresh representation; assessing authority to hear and pass a reasoned final assessment within six weeks; no coercive measures**

HEADNOTE

Where a consumer challenges Section 126 provisional notices and a purported final assessment, together with a later demand, and has not appealed under Section 127 of the Electricity Act, 2003 because a 50% deposit was required, the writ court will not quash the assessments on merits. The impugned order and demand notice are stayed for a limited period. The consumer is directed to file a fresh representation within one week before the authority who passed the assessment orders, depositing 25% of the demand-notice amount; that authority shall grant a proper opportunity of hearing and pass a reasoned order, to be treated as the final assessment, within six weeks. No coercive measure is to be taken in the meantime. Quantum of the assessment was not decided.

FACTUAL SUMMARY

Saurabh Agarwal petitioned under Article 226 to quash two orders dated 19 June 2023 and 23 June 2023, purportedly passed under Section 126 of the Electricity Act, 2003 read with the Electricity Supply Code, a purported final assessment notice dated 20 October 2023 issued by respondent no. 4 (Patrank No. 5865/V.V.Kh./bah), and to restrain recovery. He had been served with those June 2023 instruments as provisional notices, objected, and then objected to the October 2023 order. The Electricity Department sent the matter to a departmental committee, which remained seized; the petitioner said the committee had only adjourned, after which a demand notice dated 25 November 2024 was issued.

He did not appeal under Section 127, citing the requirement of a 50% deposit. On 8 April 2025 the Court recorded those facts and listed the writ as fresh; on 16 April 2025 a supplementary affidavit was taken on record.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

s.126 assessments not quashed; de novo hearing and reasoned order to be treated as the final assessment

QUESTION

Where Section 126 provisional notices, a purported final assessment and a later demand are challenged in writ, will the Court quash them or send the matter back for a hearing and a fresh final assessment?

HOLDING

The Court did not quash the assessments. It stayed the impugned order and the demand notice for a limited period and directed the petitioner to file a fresh representation, within one week, before the authority who had passed the assessment orders. That authority shall consider the representation, grant a proper opportunity of hearing, and pass a reasoned order, which shall be treated as the final assessment. The petitioner must deposit 25% of the amount mentioned in the demand notice along with the representation, for the matter to be heard de novo. The entire process is to be completed within six weeks. In the meantime, no coercive measure shall be taken. The writ petition is disposed of. ¶ 4-8

QUALIFIER

Conditioned on a representation within one week and a 25% deposit of the demand-notice amount; process to be completed within six weeks from 24.4.2025.

FLAG Source PDF also contains listing orders of 8.4.2025 (Siddhartha Varma, J. and Dr. Y.K. Srivastava, J.) and 16.4.2025; the operative disposal is 24.4.2025. Paragraphs of that order are unnumbered; numbering is of its recitals and directions. The prayers invoked Section 126 'read with the Electricity Supply Code' without a numbered clause (6.8 or 8.1); the Court did not cite a Code clause.

HOLDING-UNIT · EA2003::127

Unused s.127 appeal (50% deposit) not treated as a bar; representation route with 25% deposit substituted

QUESTION

If the consumer has not appealed under Section 127 because a 50% deposit was required, must the writ court relegate him to that appeal?

HOLDING

No such relegation was ordered. The Court recorded that the petitioner had approached it without going in appeal under Section 127, the reason cited being that a deposit of 50% of the amount was required. It did not send him to that appeal. It stayed the impugned order and demand for a limited period and substituted a fresh representation to the assessing authority, with a 25% deposit of the demand-notice amount, a hearing, and a reasoned order to be treated as the final assessment. ¶ 3-6

QUALIFIER

Section 127(2) was not construed; the 25% figure is a condition of the writ directions, not a reading of the statutory pre-deposit.

FLAG The Court cited Section 127 only as the unused statutory appeal. It did not decide whether that appeal was available or whether the 50% deposit justified bypassing it as a matter of law.

PRINCIPLE TAGS

opportunity-before-final-assessment The assessing authority must grant a proper opportunity of hearing on a fresh representation and pass a reasoned order, which is to be treated as the final assessment. Same cluster as SCJ-014, SCJ-022, SCJ-028, SCJ-117, SCJ-280, SCJ-351. ¶ 5-7

s126-procedural-strictness-notice-and-hearing Section 126 provisional notices and a purported final assessment, followed by a demand, are not left to stand as concluded. The matter is heard de novo after a 25% deposit, and a reasoned order is to be treated as the final assessment within six weeks. ¶ 4-6

assessment-must-engage-objections-with-reasons The order on the fresh representation must be a reasoned one. ¶ 5

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS / QUANTUM OF THE SECTION 126 ASSESSMENTS AND OF THE DEMAND NOTICE DATED 25.11.2024

Left to the fresh reasoned order after representation and hearing. The 25% deposit is a condition of that remand, not a determination of dues. ¶ 4-6

NOT DECIDED — WHETHER SECTION 127(2) REQUIRED A 50% PRE-DEPOSIT AND WHETHER THAT UNUSED APPEAL BARRED THE WRIT

The Court recorded the petitioner's reason for not appealing and substituted a representation with a 25% deposit. It did not construe Section 127(2) or hold the writ maintainable as an exception to the alternative remedy. ¶ 3-4

NOT DECIDED — WHETHER THE 20.10.2023 INSTRUMENT WAS A VALID FINAL ASSESSMENT, AND THE EFFECT OF THE DEPARTMENTAL COMMITTEE REMAINING SEIZED

Prayer III sought quashing of that notice. The 8.4.2025 listing recorded that a committee was still seized and had adjourned. The 24.4.2025 order stayed and remanded without deciding either point. ¶ 2-4